CAPITAL IMPROVEMENT PLAN

Zephyr Office Center | Louisville, KY

Property	Zephyr Office Center
Plan Date	January 2, 2026
Prepared For	Granite Lane Realty
Total Plan Budget	$230,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Life Safety	05/08/25	Q3 2027	$731,000	$214,241	Approved
Fire alarm panel upgrade	Building	09/14/26	Q4 2027	$324,000	$147,990	Bidding
Amenity renovation	Site	02/26/23	Q4 2027	$263,000	$54,933	In progress
Pool resurfacing	Interior	06/02/25	Q4 2027	$666,000	$16,668	Deferred
Lobby renovation	Interior	02/28/26	Q4 2025	$715,000	$412,099	Deferred
Pool resurfacing	Interior	02/06/24	Q1 2026	$309,000	$145,069	Approved
Amenity renovation	Life Safety	07/13/24	Q1 2025	$182,000	$183,595	Bidding
Exterior paint	Building	04/12/23	Q1 2025	$444,000	$310,722	In progress
ADA compliance	Energy	09/30/26	Q3 2027	$259,000	$178,196	Bidding
Door hardware	Interior	05/01/24	Q1 2025	$601,000	$613,049	Bidding
Amenity renovation	Life Safety	09/20/26	Q1 2027	$60,000	$32,740	Complete
Signage / monument	Building	06/27/24	Q2 2027	$301,000	$252,294	Complete
Lobby renovation	Site	01/22/25	Q4 2026	$83,000	$68,969	In progress
Roof replacement - Bldg B	Energy	02/15/24	Q3 2026	$641,000	$314,399	Complete
Landscape / irrigation	Life Safety	01/24/24	Q3 2026	$285,000	$145,166	Approved
Sewer line repair	Interior	01/11/23	Q3 2025	$562,000	$429,813	Complete
HVAC replacement	Life Safety	03/06/24	Q3 2026	$274,000	$124,122	Complete
Lobby renovation	Interior	12/10/25	Q1 2026	$205,000	$146,488	Approved
Door hardware	Site	08/24/23	Q1 2025	$831,000	$610,534	Complete
Security camera upgrade	Energy	04/01/24	Q4 2025	$655,000	$486,421	In progress
Pool resurfacing	Life Safety	01/02/25	Q4 2027	$692,000	$468,782	Deferred
Exterior paint	Life Safety	01/04/23	Q2 2026	$853,000	$302,706	Complete
HVAC replacement	Life Safety	03/06/26	Q4 2025	$671,000	$601,976	Deferred
LED lighting retrofit	Life Safety	10/05/26	Q1 2026	$439,000	$226,856	In progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Interior	06/30/26	Q2 2025	$431,000	$187,722	Bidding
Exterior paint	Building	11/29/23	Q3 2025	$110,000	$8,655	Complete
Fence replacement	Energy	11/13/26	Q1 2025	$230,000	$147,614	Approved
Fire alarm panel upgrade	Energy	07/11/23	Q4 2027	$271,000	$129,341	Deferred
Landscape / irrigation	Energy	01/16/25	Q3 2026	$221,000	$179,113	Complete
Landscape / irrigation	Site	07/16/26	Q2 2026	$307,000	$253,487	Approved
Door hardware	Interior	07/08/25	Q3 2025	$578,000	$82,025	Approved
Sewer line repair	Life Safety	12/10/26	Q1 2025	$592,000	$521,428	Complete
Storefront glazing	Life Safety	08/29/24	Q4 2025	$544,000	$146,425	Deferred
LED lighting retrofit	Energy	03/04/26	Q2 2027	$322,000	$310,130	In progress
Roof replacement - Bldg D	Energy	01/01/26	Q1 2026	$424,000	$80,731	Deferred
Water heater replacement	Energy	10/24/23	Q2 2025	$213,000	$73,377	Approved
Exterior paint	Site	11/14/25	Q1 2026	$442,000	$94,070	In progress
Water heater replacement	Interior	03/15/25	Q3 2027	$738,000	$228,024	In progress
Elevator modernization	Energy	09/20/24	Q3 2027	$732,000	$656,608	Complete
Parking lot resurfacing	Energy	03/01/25	Q4 2027	$602,000	$168,792	Approved
Fence replacement	Interior	02/01/24	Q1 2025	$804,000	$431,793	Approved
Security camera upgrade	Interior	01/13/24	Q3 2027	$697,000	$434,167	Deferred
Security camera upgrade	Life Safety	02/28/24	Q1 2025	$443,000	$192,351	Bidding
Fire alarm panel upgrade	Energy	08/02/23	Q4 2026	$325,000	$164,372	Approved
ADA compliance	Energy	03/31/23	Q2 2027	$230,000	$65,729	Approved
Fire alarm panel upgrade	Building	12/19/23	Q3 2025	$145,000	$122,318	Complete
Storefront glazing	Interior	07/05/26	Q1 2025	$127,000	$14,745	In progress
Security camera upgrade	Interior	08/03/26	Q1 2025	$649,000	$611,750	Complete
Roof replacement - Bldg C	Site	10/02/24	Q3 2025	$588,000	$309,797	Approved
Fire alarm panel upgrade	Interior	12/28/25	Q3 2025	$503,000	$418,428	Bidding
Exterior paint	Interior	09/03/25	Q2 2027	$835,000	$764,765	Approved
Elevator modernization	Energy	11/08/24	Q2 2025	$523,000	$545,893	Approved
Storefront glazing	Building	01/01/23	Q4 2026	$328,000	$20,667	Bidding
Exterior paint	Energy	11/16/24	Q4 2026	$218,000	$85,450	Deferred
Fence replacement	Building	10/24/23	Q4 2027	$400,000	$388,999	Bidding
Amenity renovation	Site	08/08/23	Q1 2027	$521,000	$477,598	In progress
Exterior paint	Energy	04/22/23	Q1 2026	$415,000	$133,405	Approved
Pool resurfacing	Site	11/04/23	Q1 2026	$77,000	$56,848	Approved
Fire alarm panel upgrade	Building	02/05/26	Q2 2026	$196,000	$141,058	Approved
LED lighting retrofit	Interior	08/14/24	Q3 2027	$336,000	$48,605	In progress
LED lighting retrofit	Building	08/17/25	Q1 2027	$829,000	$754,987	Bidding
Parking lot resurfacing	Site	11/19/26	Q3 2027	$536,000	$89,204	Bidding
Storefront glazing	Site	09/22/24	Q2 2026	$534,000	$372,350	Approved
LED lighting retrofit	Life Safety	10/10/25	Q2 2026	$354,000	$155,696	Approved

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Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 23 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 11 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Investment Overview

Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building features a renovated lobby, structured parking at a ratio of 30 per 1,000 square feet, and a tenant lounge with fitness center.

Projected levered IRR is 7.2% with an equity multiple of 1.17x over the hold period. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 48 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $316,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency.

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building features a renovated lobby, structured parking at a ratio of 8 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Projected levered IRR is 9.5% with an equity multiple of 1.8x over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital.

Projected levered IRR is 3.7% with an equity multiple of 1.46x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Weighted average lease term remaining is 6 years and in-place rents average $30 per square foot, full service gross. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital.

Deferred Maintenance

Elevators were last modernized 11 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $135,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Energy	04/17/25	Q3 2027	$499,000	$504,994	In progress
Storefront glazing	Site	12/02/24	Q4 2025	$681,000	$682,431	Deferred
Sewer line repair	Site	03/17/26	Q1 2025	$36,000	$29,080	Complete
LED lighting retrofit	Site	05/30/25	Q4 2027	$137,000	$100,081	Approved
Signage / monument	Building	08/29/23	Q2 2026	$125,000	$83,027	Bidding
Parking lot resurfacing	Energy	02/09/25	Q1 2026	$316,000	$231,308	Approved
Elevator modernization	Interior	04/20/24	Q3 2026	$514,000	$336,102	Complete
Signage / monument	Interior	09/05/24	Q1 2026	$63,000	$41,748	Complete
Sewer line repair	Site	07/02/23	Q2 2025	$563,000	$121,634	Complete
Landscape / irrigation	Energy	04/05/24	Q1 2026	$566,000	$261,257	Approved
Amenity renovation	Building	11/14/26	Q3 2025	$488,000	$169,374	Complete
Amenity renovation	Site	06/07/25	Q1 2026	$831,000	$442,507	Deferred
Fence replacement	Interior	08/18/26	Q4 2026	$778,000	$135,302	Deferred
Exterior paint	Energy	11/04/23	Q3 2025	$670,000	$460,668	Complete
Signage / monument	Site	04/28/25	Q2 2026	$722,000	$156,138	Complete
HVAC replacement	Interior	06/01/24	Q4 2026	$800,000	$316,656	Bidding
Storefront glazing	Building	02/27/26	Q1 2027	$68,000	$39,078	Approved
Fire alarm panel upgrade	Life Safety	03/27/25	Q3 2027	$287,000	$46,620	Deferred
Signage / monument	Site	03/05/26	Q4 2026	$24,000	$7,299	In progress
Unit interior upgrades	Interior	02/02/25	Q4 2026	$780,000	$63,945	Bidding
HVAC replacement	Building	11/25/26	Q3 2026	$812,000	$176,714	Complete
Amenity renovation	Energy	08/02/23	Q4 2027	$486,000	$475,896	In progress
Security camera upgrade	Life Safety	04/12/26	Q2 2027	$494,000	$289,619	Deferred
Exterior paint	Site	07/27/24	Q3 2026	$186,000	$95,724	Deferred
Amenity renovation	Interior	07/24/24	Q2 2025	$297,000	$144,150	Approved
HVAC replacement	Building	01/18/25	Q3 2027	$367,000	$80,882	Approved
ADA compliance	Life Safety	06/19/23	Q2 2027	$386,000	$267,249	Approved
HVAC replacement	Energy	12/07/24	Q1 2026	$780,000	$510,635	Bidding
Amenity renovation	Life Safety	02/03/24	Q4 2027	$644,000	$432,604	Deferred
Storefront glazing	Energy	11/28/24	Q3 2026	$59,000	$14,562	Complete
Fence replacement	Life Safety	12/13/25	Q3 2025	$802,000	$312,542	Bidding
Elevator modernization	Life Safety	06/19/24	Q2 2027	$559,000	$576,366	Deferred
Sewer line repair	Energy	08/20/24	Q4 2027	$884,000	$66,031	Complete
Pool resurfacing	Interior	08/07/25	Q3 2026	$325,000	$106,116	Bidding
Exterior paint	Energy	05/16/24	Q4 2025	$319,000	$228,374	Approved
Exterior paint	Interior	05/07/24	Q2 2026	$120,000	$66,194	Bidding
Unit interior upgrades	Interior	11/07/25	Q4 2026	$346,000	$318,972	In progress
Unit interior upgrades	Energy	05/18/25	Q4 2027	$819,000	$659,694	Approved
ADA compliance	Energy	12/02/23	Q4 2025	$372,000	$253,652	In progress
Security camera upgrade	Life Safety	10/26/23	Q3 2026	$785,000	$281,250	In progress
Door hardware	Site	06/28/24	Q3 2025	$805,000	$9,091	Bidding
Exterior paint	Life Safety	12/21/25	Q4 2027	$408,000	$221,629	Complete

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Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $110,000. Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 3 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 11.4% with an equity multiple of 1.32x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Projected levered IRR is 9.4% with an equity multiple of 1.23x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.5% on contributed capital. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 46 months. Elevators were last modernized 9 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency.

Investor Distributions

The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 3.7% on contributed capital. Floor plates are efficient and column-spacing supports open and private-office layouts.

The building features a renovated lobby, structured parking at a ratio of 21 per 1,000 square feet, and a tenant lounge with fitness center. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $398,000. Elevators were last modernized 6 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
LED lighting retrofit	Site	02/26/26	Q2 2026	$863,000	$341,505	In progress
Roof replacement - Bldg B	Building	07/22/23	Q4 2027	$896,000	$194,662	Complete
Door hardware	Site	11/30/26	Q2 2026	$141,000	$79,755	Deferred
Elevator modernization	Interior	05/27/23	Q3 2026	$771,000	$539,634	Complete
Pool resurfacing	Life Safety	05/01/24	Q3 2026	$21,000	$19,079	Approved
Fence replacement	Interior	01/02/25	Q2 2025	$198,000	$84,099	In progress
Security camera upgrade	Building	10/12/23	Q1 2026	$749,000	$125,827	Complete
Roof replacement - Bldg D	Energy	08/21/24	Q1 2025	$845,000	$308,775	Approved
Elevator modernization	Building	10/20/25	Q2 2026	$14,000	$11,831	In progress
Roof replacement - Bldg D	Building	11/15/24	Q1 2025	$416,000	$436,724	In progress
Elevator modernization	Building	07/24/26	Q4 2025	$671,000	$191,261	Bidding
Signage / monument	Energy	08/23/25	Q4 2025	$57,000	$49,546	Approved
LED lighting retrofit	Life Safety	06/10/25	Q1 2025	$520,000	$511,707	Complete
Door hardware	Energy	01/17/23	Q4 2027	$65,000	$40,485	In progress
Door hardware	Energy	05/30/26	Q3 2027	$164,000	$61,286	Approved
Security camera upgrade	Interior	06/30/24	Q3 2025	$108,000	$14,735	Approved
Fence replacement	Energy	06/29/23	Q2 2027	$484,000	$357,287	Complete
Fire alarm panel upgrade	Interior	08/03/24	Q2 2027	$587,000	$248,923	Deferred
ADA compliance	Interior	10/19/26	Q4 2027	$582,000	$47,155	Deferred
Fence replacement	Building	12/31/24	Q4 2026	$118,000	$123,163	In progress
Roof replacement - Bldg B	Building	02/25/24	Q2 2027	$307,000	$119,702	Bidding
Exterior paint	Building	05/04/23	Q2 2025	$503,000	$330,133	Approved
Water heater replacement	Site	01/26/26	Q3 2027	$855,000	$762,576	Deferred
HVAC replacement	Life Safety	10/27/25	Q4 2027	$332,000	$53,585	Complete
Exterior paint	Interior	05/25/23	Q3 2025	$570,000	$53,827	Complete
Fire alarm panel upgrade	Site	12/20/26	Q3 2025	$227,000	$185,588	Bidding
Signage / monument	Interior	10/23/25	Q2 2027	$486,000	$166,179	Deferred
LED lighting retrofit	Life Safety	01/01/25	Q2 2025	$10,000	$8,225	Approved
Amenity renovation	Site	07/09/24	Q3 2026	$850,000	$549,485	Approved
Fence replacement	Site	12/26/26	Q2 2026	$538,000	$331,671	Bidding
Fire alarm panel upgrade	Interior	08/16/26	Q2 2026	$250,000	$105,670	Deferred
Storefront glazing	Interior	09/21/23	Q1 2025	$723,000	$342,646	Bidding
Sewer line repair	Life Safety	12/09/25	Q2 2027	$765,000	$336,831	Complete
ADA compliance	Interior	04/26/23	Q1 2027	$900,000	$232,719	In progress
Exterior paint	Life Safety	10/08/26	Q4 2025	$309,000	$306,830	Complete
Lobby renovation	Energy	04/03/24	Q4 2026	$358,000	$305,769	Bidding
LED lighting retrofit	Building	02/05/26	Q1 2027	$654,000	$429,389	Deferred
Water heater replacement	Energy	08/09/26	Q3 2027	$390,000	$13,959	Approved
HVAC replacement	Energy	02/25/26	Q4 2025	$592,000	$371,944	Deferred
Storefront glazing	Site	12/16/25	Q2 2025	$117,000	$49,220	Deferred

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Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 4 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 41 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $357,000. Elevators were last modernized 3 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Risk Considerations

Weighted average lease term remaining is 5 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 30 per 1,000 square feet, and a tenant lounge with fitness center. Projected levered IRR is 4.9% with an equity multiple of 1.16x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 9 per 1,000 square feet, and a tenant lounge with fitness center. Projected levered IRR is 5.4% with an equity multiple of 1.17x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $345,000.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $368,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Business Plan Progress

Weighted average lease term remaining is 8 years and in-place rents average $30 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 4 per 1,000 square feet, and a tenant lounge with fitness center. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Observed Conditions

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $165,000. Elevators were last modernized 11 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 45 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Energy	09/21/23	Q3 2027	$820,000	$578,497	Deferred
Pool resurfacing	Energy	07/05/24	Q2 2026	$99,000	$41,659	In progress
Fire alarm panel upgrade	Site	03/20/26	Q1 2025	$238,000	$167,526	Complete
HVAC replacement	Site	07/15/23	Q2 2026	$154,000	$11,543	Complete
Unit interior upgrades	Energy	11/20/25	Q2 2025	$144,000	$66,834	Approved
Parking lot resurfacing	Site	01/02/25	Q4 2025	$261,000	$168,516	Approved
Fence replacement	Site	07/05/26	Q1 2026	$436,000	$347,741	Approved
Water heater replacement	Building	12/16/23	Q3 2027	$545,000	$124,253	Complete
Pool resurfacing	Building	02/19/23	Q2 2025	$122,000	$63,840	Bidding
Amenity renovation	Site	02/08/25	Q4 2026	$709,000	$74,643	Complete
Landscape / irrigation	Site	01/16/25	Q3 2025	$57,000	$40,310	Deferred
Door hardware	Site	01/24/23	Q3 2026	$609,000	$9,706	Bidding
Roof replacement - Bldg D	Interior	08/06/24	Q3 2027	$813,000	$17,802	Bidding
Roof replacement - Bldg B	Energy	12/24/24	Q3 2027	$701,000	$246,203	In progress
Fire alarm panel upgrade	Building	02/11/23	Q3 2025	$430,000	$20,136	Complete
Pool resurfacing	Energy	10/03/24	Q2 2025	$385,000	$357,176	In progress
Fence replacement	Interior	06/24/24	Q4 2025	$459,000	$22,046	Complete
Storefront glazing	Energy	08/29/23	Q1 2025	$276,000	$283,302	Complete
LED lighting retrofit	Life Safety	01/02/26	Q1 2026	$517,000	$433,931	Approved
Water heater replacement	Interior	11/25/25	Q2 2026	$446,000	$391,721	In progress
Lobby renovation	Life Safety	09/03/23	Q3 2026	$215,000	$28,177	Bidding
Fence replacement	Site	04/19/25	Q2 2027	$199,000	$78,460	In progress
Unit interior upgrades	Building	09/09/25	Q4 2025	$282,000	$191,588	Approved
Unit interior upgrades	Site	06/06/26	Q1 2026	$711,000	$270,377	Deferred
Landscape / irrigation	Interior	03/04/24	Q4 2026	$694,000	$125,323	Deferred
Parking lot resurfacing	Energy	12/15/25	Q2 2026	$533,000	$159,286	Bidding
Door hardware	Energy	05/17/23	Q1 2025	$549,000	$442,660	In progress
Fence replacement	Building	01/06/24	Q2 2027	$756,000	$9,535	Bidding
Sewer line repair	Site	09/20/25	Q4 2027	$708,000	$622,881	Complete
Landscape / irrigation	Energy	07/13/23	Q1 2026	$126,000	$90,984	Bidding
Elevator modernization	Life Safety	10/14/23	Q4 2026	$636,000	$357,921	Complete
Lobby renovation	Life Safety	11/26/25	Q3 2027	$231,000	$181,470	Complete
Landscape / irrigation	Interior	12/08/23	Q4 2025	$769,000	$125,624	Deferred
Fire alarm panel upgrade	Life Safety	02/26/24	Q1 2027	$182,000	$21,031	Bidding
Parking lot resurfacing	Energy	11/20/23	Q3 2027	$651,000	$353,847	In progress
Roof replacement - Bldg B	Interior	10/03/24	Q4 2025	$655,000	$329,633	Approved
Fire alarm panel upgrade	Energy	06/22/25	Q1 2026	$695,000	$287,550	Approved
Security camera upgrade	Interior	09/27/24	Q2 2026	$844,000	$245,971	Complete
Signage / monument	Life Safety	03/20/24	Q1 2025	$855,000	$757,662	In progress
Exterior paint	Energy	11/17/24	Q2 2027	$421,000	$214,061	Approved
Security camera upgrade	Interior	12/03/24	Q1 2026	$739,000	$272,274	Bidding
Lobby renovation	Building	04/30/26	Q4 2027	$15,000	$3,838	Deferred

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Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $69,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 7 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $301,000.

Investor Distributions

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 12 years and in-place rents average $30 per square foot, full service gross. Projected levered IRR is 3.9% with an equity multiple of 1.40x over the hold period.

Distributions to investors for the quarter were paid at an annualized rate of 6.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 9 years and in-place rents average $30 per square foot, full service gross. Projected levered IRR is 12.5% with an equity multiple of 1.41x over the hold period.

Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $56,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Weighted average lease term remaining is 9 years and in-place rents average $30 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 8 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 6.8% with an equity multiple of 1.4x over the hold period.

Recommendations

Elevators were last modernized 9 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $110,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Summary and Notes

Operating Performance

Debt service coverage ratio was 5.23x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 3 years and in-place rents average $30 per square foot, full service gross. Operating expenses totaled $199,000 or approximately 47.12 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Effective gross income for the trailing period was $347,000, representing a 13.6% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.25x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.31% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Management Commentary

Collections for the period were 93.6% of billed charges, with bad debt of 5.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 11 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 3 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members.

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